



NEARLY 75% OF India's transshipment cargo is routed through foreign ports, resulting in an annual foreign exchange outflow of about \$200 million. Reducing this dependence, along with leveraging the strategic location of Great Nicobar Island near the Strait of Malacca, are among the reasons the government has cited for the proposed ₹99,000 crore International Container Transshipment Port (ICTP) at Galathea Bay.

The ICTP, with a proposed capacity of 20.4 million Twenty-Foot Equivalent Units (TEUs), a standardised unit used to measure the capacity of shipping containers and ports, is likely to be completed over the next 35 years and is expected to take on established transshipment hubs such as Singapore, which has an operational capacity of 41 million TEUs and is equipped with some of the world's most advanced port technologies.

The port is one of the country's biggest infrastructure projects, along with an international airport, a power plant and a township on the island. A project of this size and scale in a protected forest within the Great Nicobar Biosphere Reserve, a UNESCO-recognised site covering 85% of the island, will have an environmental impact as well.

The government plans to clear approximately one million trees from this tropical rainforest, with compensatory afforestation in Haryana and Madhya Pradesh. Concerns have also been raised about the rights and interests of Par-

THE ICTP

○
Targeting container traffic from India's East Coast, Bangladesh and Myanmar

○
Declared strategic project by the defence ministry with construction starting in 2028

○
Construction in two phases, with a total handling capacity of 20.4 mn TEUs

○
Estimated project cost of ₹99,000 crore; first phase is ₹48,862 crore

○
Located 40 nautical miles from Malacca Strait, from which 35% of the global sea trade passes

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75% of India's transshipment cargo is routed through foreign ports

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ticularly Vulnerable Tribal Groups (PVTGs), including the Shompen and Nicobari communities, which are also being affected by the opening up of the protected area.

The bigger question is whether it will put India on the global maritime map by becoming a major transshipment hub? There are differing views, including on whether it will compete against Adani-run Vizhinjam International Port, another transshipment port located on the international trade route.

GLOBAL TRADE FLOWS

The project enjoys a strategic advantage because it is located close to the main East-West international shipping route, making it an ideal hub for global trade. Former shipping secretary Gopal Krishna says India has struggled with transshipment for the last three decades. Most transshipment takes place through Singapore, Port Klang (Malaysia) and Colombo on the east coast and Salalah (Oman) and Jebel Ali (Dubai) on the west.

“About 5 million TEUs get transshipped (both import and export) through foreign ports, and of this, three million TEUs are transshipped through the east. It makes a lot of sense to build ICTP, Galathea Bay, if you see from this perspective that three million TEUs is a big number,” he tells *Business Today*.

The Kamarajar Port Ltd (KPL) is the implementing agency for the ICTP project, which is expected to be completed in two phases.

PORT PUSH

The project leverages a highly strategic geopolitical and geographic advantage and is positioned 40 nautical miles from the Malacca Strait, which is one of the world's busiest international shipping routes through which nearly 35% of global seaborne trade passes annually.

With natural water depths of